total population 74.63 per cent. The ratio of population in the working age willing to work to the working age population gives the ratio of population in the labour force. If we further assume that 41 crore out of 103 crore working age people in India were willing to work in December 2020, the labour force would be equal to 41 crore and the ratio of labour force to working age population would be 39.8 per cent. This also implies that 60.2 per cent of the working age population is not interested in working, for whatever reasons. The people in the labour force may get employment or they may not. The proportion of the workforce not employed gives the unemployment rate. In our example, if 3 crore out of the labour force of 41 crore did not get employment in the month of December 2020, the unemployment rate would be 7.3 per cent. The employment rate is computed with reference to working age persons. In our example, 38 crore persons got employment in December (41 crore labour force; 3 crore unemployed). The proportion of 38 crore (labour employed) and 103 crore (working age population) gives the employment ratio. In this example, the employment rate would be 36.89 per cent.

The unemployment rate is the proportion of the unemployed to the labour force, not working age population. This signifies the proportion of people in the active labour force who are not able to find employment. The number of people in the working age population but not in the active workforce indicates the reservoir of employable people not interested or able to join the workforce.

ILO measures another important relationship. All workers who are able to find some work—even an hour a week—are considered employed as per the definition of employed and unemployed. There are many workers who want to work longer hours than the employment they get. Such workers are ‘underemployed’. Similarly, there are quite a few workers who are not currently seeking work on a temporary basis and therefore not part of the workforce but are otherwise interested in working. These are ‘potential’